Investment Philosophy

(external sources mentioned at the end)

If some concept comes up again and again in advice or stories of successful people from different fields, it's likely a real thing rather than noise.

Two of those concepts that I see revolving around all the time are:

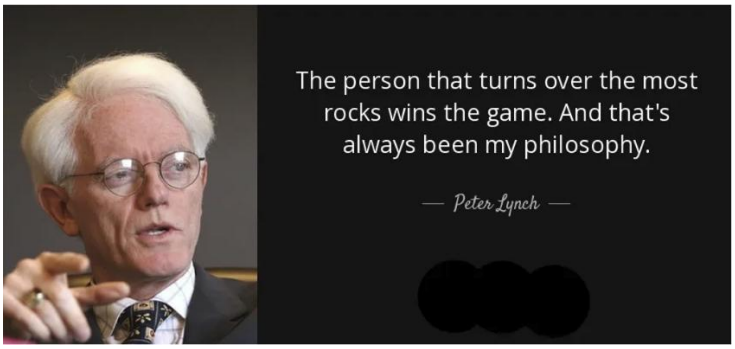
- ***Discovering as many things as possible.***
- ***Saying 'no' to almost all of them.***

*"I am as proud of many of the things we haven't done as the things we have done. Innovation is saying '**no**' to a thousand things." — **Steve Jobs***

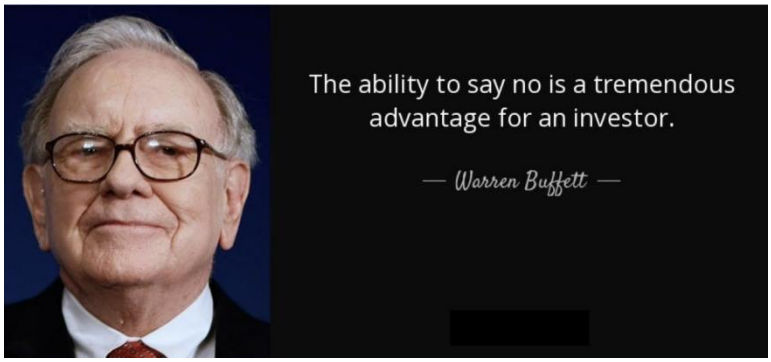
*"We don't get a chance to do that many things, so everything we do should be really excellent. Because life is brief, and then you die." — **Steve Jobs***

He was a great entrepreneur, perhaps the greatest of all time, and he told us to discover as many things as possible and say 'yes' to only a few of them.

Peter Lynch said he used to research stocks all day long. He was looking at hundreds of companies every month to discover opportunities others had ignored. He openly said this:



Remember, Steve Jobs said you should be picky because life is short. It's the same for investing. Resources are not unlimited. You should be picky and invest only in those that promise the highest return with as little risk as possible. You should say 'no' to others.

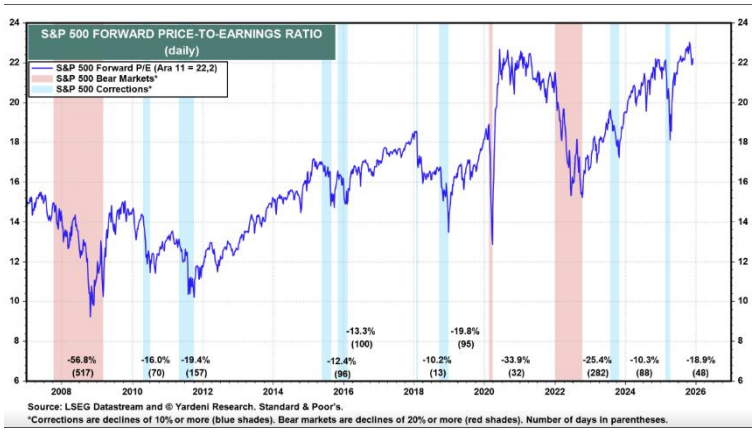


*"The difference between successful people and very successful people is that very successful people say **'no'** to almost everything." — **Warren Buffett***

This clearly illustrates two things:

- **The universe of exceptional companies is small.**
- **You gotta be very selective to succeed.**

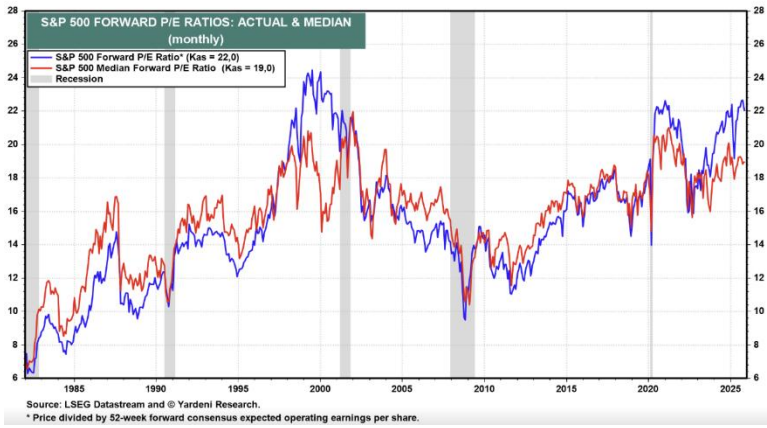
That universe has shrunk even further this year as the market rallied and many high-quality stocks have become overvalued. Indeed, the S&P 500 is now valued at 22x forward earnings.



We have to note that there was no single event in the last 20 years where the S&P 500 forward P/E ratio stayed above 22 for more than two years. And note that we had a 0% interest rate policy in much of that period.

*This means that regardless of whatever hype we have in the market, **we're more likely to have a correction in the market rather than another record-breaking year.** In the best-case scenario, there may be prolonged sideline movement at the current levels, as **there is no incident, the market has settled over 22x forward earnings for a long period.***

We clearly see this when we look at the actual and monthly median forward PE ratios:



Today, the actual forward P/E is ahead of the median by the widest margin since the dotcom bubble.

You may attribute the overvaluation to anything you want, or you may think that the valuation is justified for one reason or another. I am sure people have had many ideas as to the valuations when they were pretty high in the past, but there is one single truth—**they haven't stayed that way for a long time.**

Whatever you believe in, the appropriate course of action is assuming that we'll have correction soon and behaving accordingly.

Downside protection always comes first; upside just takes care of itself.

The key to consistently generating above-average returns can essentially be reduced to a three-pronged strategy:

- **Buy companies with durable competitive advantages, i.e, moats.**
- **Don't overpay for anything, regardless of the quality.**
- **Do nothing; wait for the strategy to play out.**

Warren Buffett and Charlie Munger established this concept so well that you'll see it coming up over and over again in talks and the strategies of the successful investors of our time.

Companies with moats have predictable earnings, so it's easy to value them. Doing nothing is also straightforward, and it's a psychological process, not financial or business-related.

So, the linchpin of consistent outperformance is buying companies with MOATs.

The problem with this strategy is that companies with wide moats are generally overvalued, as their virtues are well-known and accepted by the majority of investors.

Given this, it would be very unproductive to simply just wait until they become attractively valued.

Luckily, the essence of moats has changed in today's economy, and many investors haven't adjusted their perspective. Once we understand this, we can get ahead of others and exploit the opportunities they don't even see.

This is similar to when some investors recognized that a digital business at 25x P/E could be cheap, since expensing intangible investment depresses earnings and artificially inflates P/E ratios. Those investors bought great businesses at attractive valuations, while traditional-minded investors ignored them as overvalued.

Thus, in today's digital economy MOATs have pivoted from their classical allusion.

A Checklist such as Michael Mauboussin's "*Measuring The Moat*" would provide a traditional edge over competitors, however it tends to be incompatible with the very essence of investing, as you don't make money in the market even when you are right if others are also right.

Appendix A: Checklist for Assessing Value Creation

Overview

- ☐ In what stage of the competitive life cycle is the company?
- ☐ Is the company currently earning a return above its cost of capital?
- ☐ Are returns on invested capital increasing, decreasing, or stable? Why?
- ☐ What is the trend in the company's investment spending, including mergers and acquisitions?

Lay of the Land

- ☐ What percentage of the industry does each player represent?
- ☐ What is each player's level of profitability?
- ☐ What have the historical trends in market share been?
- ☐ How stable is the industry?
  - ☐ How stable is market share?
  - ☐ What do pricing trends look like?
- ☐ What class does the industry fall into—fragmented, emerging, mature, declining, international, network, or hypercompetitive?

The First Three of the Five Forces

- ☐ How much leverage do suppliers have?
- ☐ Can companies pass price increases from their suppliers on to their customers?
- ☐ Are there substitute products available?
- ☐ Are there switching costs?
- ☐ How much leverage do buyers have?
- ☐ How informed are the buyers?

Barriers to Entry

- ☐ What are the rates of entry and exit in the industry?
- ☐ How will the incumbents react to the threat of new entrants?
- ☐ What is the reputation of incumbents?
- ☐ How specific are the assets?
- ☐ What is the minimum efficient production scale?
- ☐ Does the industry have excess capacity?
- ☐ Is there a way to differentiate the product?
- ☐ What is the anticipated payoff for a new entrant?
- ☐ Do incumbents have precommitment contracts?
- ☐ Do incumbents have costly licenses or patents?
- ☐ Are there benefits from the learning curve?

Rivalry

- ☐ Is there pricing coordination?
- ☐ What is the industry concentration?
- ☐ What is the size distribution of firms?
- ☐ How similar are the firms in incentives, corporate philosophy, and ownership structure?
- ☐ Is there demand variability?
- ☐ Are there high fixed costs?
- ☐ Is the industry growing?

Disruption and Disintegration

- ☐ Is the industry vulnerable to disruptive innovation?
- ☐ Do new innovations foster product improvements?
- ☐ Is the innovation progressing faster than the market's needs?
  - ☐ Have established players passed the performance threshold?
  - ☐ Is the industry organized vertically, or has there been a shift to horizontal markets?

Firm Specific

- ☐ Does analysis of the value chain reveal what activities a company does differently than its rivals?
- ☐ Does the firm have production advantages?
  - ☐ Is there instability in the business structure?
  - ☐ Is there complexity requiring know-how or coordination capabilities?
  - ☐ How quickly are the process costs changing?
- ☐ Does the firm have any patents, copyrights, trademarks, etc.?
- ☐ Are there economies of scale?
  - ☐ What does the firm's distribution scale look like?
  - ☐ Are assets and revenue clustered geographically?
  - ☐ Are there purchasing advantages with size?
  - ☐ Are there economies of scope?
  - ☐ Are there diverse research profiles?
- ☐ Are there consumer advantages?
  - ☐ Is there habit or horizontal differentiation?
  - ☐ Do people prefer the product to competing products?
  - ☐ Are there lots of product attributes that customers weigh?
  - ☐ Can customers only assess the product through trial?
  - ☐ Is there customer lock-in? Are there high switching costs?
- ☐ Is the network radial or interactive?
- ☐ What is the source and longevity of added value?
- ☐ Are there external sources of added value (subsidies, tariffs, quotas, and competitive or environmental regulations)?

Firm Interaction—Competition and Coordination

- ☐ Does the industry include complementors?
- ☐ Is the value of the pie growing because of companies that are not competitors? Or, are new companies taking share from a pie with fixed value?

Brands

- ☐ Do customers want to "hire" the brand for the job to be done?
- ☐ Does the brand increase willingness to pay?
- ☐ Do customers have an emotional connection to the brand?
- ☐ Do customers trust the product because of the name?
- ☐ Does the brand imply social status?
- ☐ Can you reduce supplier operating cost with your name?

What gives you the advantage is understanding the essence of things, so you can identify the situations that don't appear on the checklist but carry the essence of the topic. You see a moat where others don't, and you make a bank if you are right.

As Warren Buffet calls it, a MOAT is essentially a 'durable competitive advantage'

To summarise a short video by him-> he talks about how a moat could simply be being a 'low-cost producer', or having more 'institutionalised talent' than the rest of the market.

Everything could be a competitive advantage in terms of enhancing a product's chance to become a customer choice, like a bit better design, a bit cheaper price, a bit better service. Thus, in theory, there may be infinite sources of competitive advantage.

However, decades of observation have taught us that most advantages are ephemeral, and the list of advantages that can be made durable is a short one. For instance, better design or a better service has never translated to a durable competitive advantage, as somebody eventually comes up with a better design or provides a better service.

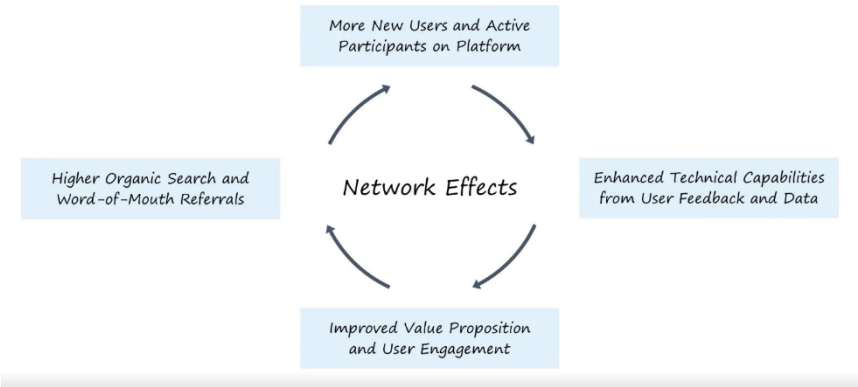
The most straightforward of the ephemeral competitive advantages is price, as it's one of the most studied competitive advantages.

However, for the price advantage to become durable, it needs to go beyond accepting lower margins. A company should be able to cut prices to the levels that would be uneconomical for competitors to match. i.e **through Economies of Scale.**

Scale advantage self-perpetuates as lower prices attract more customers, which results in even larger scale and lower prices. This way, an ephemeral advantage initially gained by cutting margins can turn into a durable competitive advantage.

There are two others that I think are pretty pronounced:

- **Network effects**
- **Brand power**



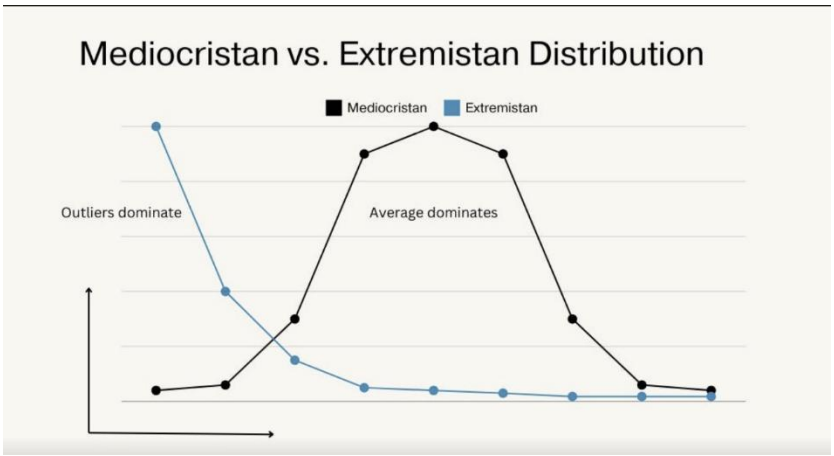
There are others like these, but the essence is simple: Anything can be an advantage, but only a few of them can be made durable by some mechanism. Whatever the mechanism is, the advantage itself needs two properties to be able to become durable:

- **It should scale.**
- **It should self-perpetuate to some degree.**

The best pizza in the world is made by some obscure dad & son pizzeria in Italy, but only a few people know the place, and even they don't know it's the best in the world; Domino's, on the other hand, makes a shitty pizza, but everybody knows it. Dominoes has the brand, it scales, and self-perpetuates.

This century, the message will change: Being better can produce a durable competitive advantage.

You have to be careful here; it doesn't say being better is a competitive advantage, it says being better can produce it.



*As a rule of thumb, physical things are of **mediocristan** while intangible things are of extremistan. The tallest building in a city can be 2x, 3x, 5x, or even 10x of the average height, but it won't be 100,000x. Fame, on the other hand, is **extremistan**. Brad Pitt is infinitely more famous than an average male.*

This is of profound importance for us because the global economy has shifted from a mediocristan land to an extremistan one in the last two decades.

*The industrial economy of the 20th century was predominantly physical. It relied on sales of physical items. Thus, the character of the economy was **mediocristan**. This is because the customer's choice was limited by physical boundaries.*

In other words, the tournament between the alternatives was limited by physical boundaries.

In contrast, the economy of the 21st century is increasingly digital. Goods and services that are delivered online are dominating the economy. Digital is the land of extremistan, as the tournament effect isn't capped by the physical boundaries.

*Digital is of **extremistan**. Thus, small advantages matter as there is no cap on the tournament effect. There is nothing preventing people from picking a slightly better option. And given that people try to make the rational choice for themselves, most end up picking a slightly better option.*

Investors today focus too much on the network effects that Google and Facebook enjoy, but they forget that these companies didn't start with giant networks. They have grown into giant networks because they were slightly better than the alternatives in the first place. They have grown massively because there was nothing preventing people from picking the slightly better option.

It applies to almost all of the digital giants today. They all started with small advantages. Think about Spotify. What made it different from other music streaming services? It had a better frontend. That's all. But in ***extremistan****, these small advantages compound as everybody can pick the slightly better alternative.*

Now, remember that I said that a slight advantage doesn't automatically turn into a moat; it just enables companies to produce a moat.

The same applies to Facebook and Google. Both of them built double-sided networks that reinforced their small early advantages. Facebook could try to monetize through subscriptions, or freemium, but instead, it chose advertising. The former couldn't create a double-sided network; the latter could.

The other way that slight advantages in extremistan can result in a moat is the cases where the product itself is sticky by nature.

In such cases, no physical cap on the tournament effect leads to market concentration around a few players that are slightly better than the others. If the product is sticky, users don't easily flow to newcomers, even if they are slightly better than the incumbents. You have more to gain by sticking than switching. Slightly better works for the early movers, but not for the late comers. Examples include neo banking & insurance, as it tends to be easier to stay with the incumbent provider.

In short, the economy has changed. In the physical, mediocristan economy of the 20th century, slight advantages weren't attributed a big importance. They couldn't create a moat. In contrast, in the digital, extremistan economy of the 21st century, small advantages can enable companies to create sustainable moats.

Thus, if you understand how small advantages can translate to wide moats in extremistan, you can see great potential in companies ignored by others. A quick checklist would be:

- **Look at the industry, is it mediocristan or extemistan?**
- **Is the product intrinsically sticky, or can it be made consistently better than the competitors due to scale, network effects, etc?**
- **Does the company you are looking at have a small but obvious advantage over the competitors?**

If you answer all these questions "yes", then you are probably looking at a potential wide-moat company that likely hasn't been given the wide-moat premium by the market yet. **That is your opportunity.**

Understand the new dynamics of the competition, and you'll see the emerging moats faster than the market and be able to capitalize on them. This is the key to outperformance in the new economy.

Value investing can be reduced to one sentence:

'Heads we win, tails we don't lose much'

Grahamian value investing*, the idea that something could be priced less in the market than it is really worth and that you can spot it by looking at financials, and when you spot one, you bet on it, and when the market corrects it, you pocket the difference allows you to literally make money purely by your brain power.*

However, this style of investing is rather flawed in today's era, given that When Graham came up with this method, computers weren't mainstream, software programs didn't exist, and you couldn't screen stocks on large databases. i.e. **Information edge existed.**

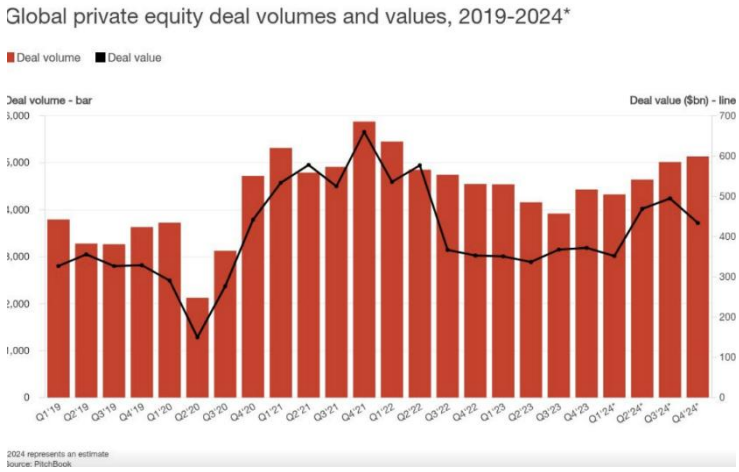
Back in the 1960s, private capital was nascent, so these opportunities could exist in the public markets without becoming targets for acquisition.

Think about Graham's stock selection criteria:

- No negative earnings in the last 5 years.
- Net current asset value is larger than the market cap.

Basically, a **money-making business selling for pennies on a dollar, a dream investment for private equity,** but they existed in public markets because there was very limited private equity activity.

This is no longer the case; private equity volume reached $600 billion last year:



The assets under management by private equity firms are around $10 trillion today…

As Graham's net-nets are the perfect candidates for acquisition by private capital, their numbers have significantly declined. They are like species at the edge of extinction.

This doesn't mean they don't exist, but there are **simply way fewer of them now.**

If the defining question of Grahamian value investing was **"*what's it worth today?*",** the defining question of the Buffettology is **"*what will it be worth in the future?*"**

This has a few implications:

- *It emphasizes durability by assuming no multiple contractions. If the business is valued at 15x earnings today and again valued at 15x earnings 5 years from now, its business should be a durable one.*
- *It champions the concept of moat. Businesses that can grow earnings consistently are those that deploy increasingly more capital at higher rates of return. Businesses that can achieve this have some sort of unfair competitive advantage, or moat.*
- *It emphasizes long-termism. You need time to see the effect of durability. A business can make $1 today and be priced at $15 or 15x earnings. It can make $1.15 next year and can still be valued at $15. But, if it keeps growing like this for 10 years, it'll generate $4 in earnings at $15 stock price would be ridiculous.*
- *It cautions against overpaying. If you pay, let's say 15x for a growing business, there isn't much room for multiple contraction. But if you pay 60x, you can still lose money just due to multiple contraction even if the business kept growing in the 10 years after you bought it.*

Fisher ('Uncommon stocks and Uncommon Profits') shifts the focus from tangible value to earning power :))

If you are looking at a business with unfair competitive advantages, thus predictable earnings, you can rely on forward-looking assumptions to calculate its future value. You discount it to the current day by using an appropriate discount factor. If what you find is higher than the market price, you buy and wait for it to play out.

Buffett was clearly impressed by this idea and very well understood its tenets. He put this on a test with his American Express investment in 1964.

From then on, he dedicated Berkshire to invest only in exceptional companies that would improve their earning power for decades to come.

This was a significant shift from Graham's approach, which emphasized current value based on assets and saw earnings just as an anchor of value to Fisher, who incorporates future earnings as the main value driver.

He said openly in Berkshire's 2000 Annual Meeting that they **ignore book value** and look at the **company's earning power in valuation**.

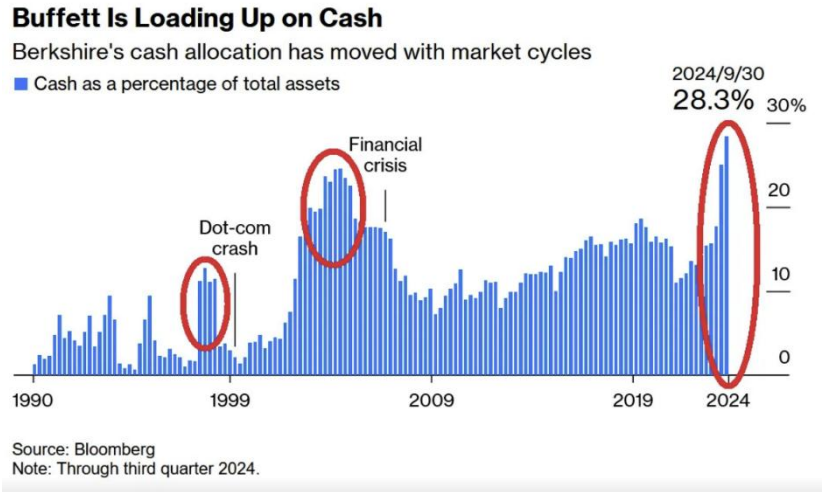
However, the problem is that those exceptional companies in public markets are very rare, thus they are very well known.

As a result, they are almost always expensive. You can find them cheaply only in three circumstances:

- **Market crashes.**
- **Industry recessions.**
- **Temporary company-specific problems.**

You see this clearly when you look at Buffett's investing in public markets for the last 3-4 decades.

He builds massive cash positions, waits for them to become cheap due to some systematic stress, and deploys massive amounts to well-known exceptional companies:



The problem is that these situations also happen rarely. It's fine for Buffett because he is managing massive amounts, and he readily accepts that stellar results are not possible for him due to his size, and this strategy is reliable in generating something between 10-15% annual return.

But for individual investors who are managing way smaller sums, this method is too restrictive, and opportunities here will also dry rapidly as systemic crises get rarer due to our improving sophistication and institutional risk management mechanisms.

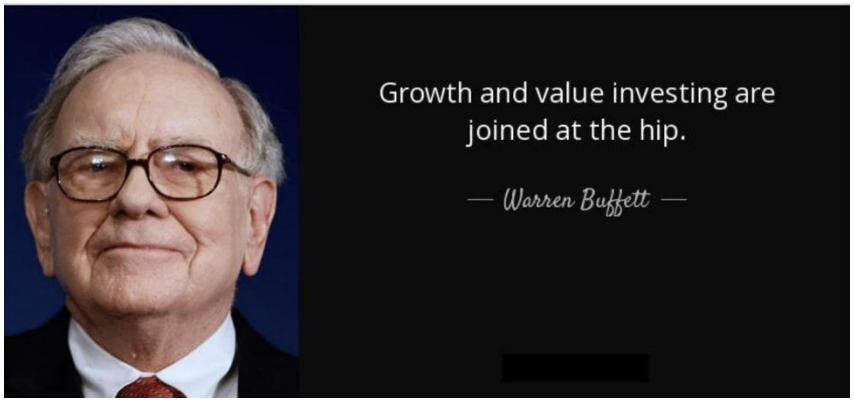
Thus I would pivot modern day investing from rules based to a principle-based one, **yet one where principles are fluid rather than stoic.**

This makes qualitative assessment, intellectual capacity, and decision quality of paramount importance. It can't be taught anymore like Graham's way; you can only try to show your thinking, and others should be inspired by it, but they should also create their own way to succeed.

Thus, we can account for a couple guiding points that will be able to assist us:

1.Value is spurred by growth.

Since net-nets have largely dried up, and we are trying to buy businesses based on their future earning power, ***growth*** *is essential for success, as the market readily prices current earnings power with perfection.*



2.You are unlikely to unearth new information, but what you can do is to make better decisions about what the information reflects.

3.Marginal advantages are the new MOAT.

In the digital economy of today, there is no limit on the tournament effect.

Everybody can pick the slightly better product. As a result, what was once a marginal advantage can translate into a durable moat. This is key to understanding the giants of today's economy.

Think about RobinHood. It was a bit better than other online brokerages, but it has won the market because everybody could pick it; there were no physical constraints, so there was no limit on the tournament effect.

You'll be set for a massive outperformance if you leave behind the definitive moats of the physical economy and look for digital businesses that are marginally better than the competitors and have considerable stickiness. They can win the whole market due to infinite tournament effects.

4.Try not to deviate from the base rates.

When you understand the importance of growth, you are naturally inclined to find things that are poised for fast growth in the future. That's understandable.

However, one of the most critical mistakes I see is people being too generous with their forward estimates. They look at a fast business that grew 35% a year in the last 5 years, and say it can grow 30% a year for the next decade.

This could be true for that company, but that mode of operation completely ignores the base rates. It's a recipe for disaster.

If the issue is still undervalued after you readjusted your assumptions according to the base rates, and you are sure of the business's above-average quality, then you are likely looking at a nice investment opportunity.

5.To control this risk, I suggest using a barbell approach.

You have to put a higher percentage of your portfolio into low-risk, Buffettesque stocks bought at attractive prices, like American Express, and a smaller percentage into higher potential stocks that have a shot to become a big winner due to tournament effects.

This way, the low-risk side will limit your downside while the high-potential part will maximize your upside, as you'll **benefit from convexity** there. This means that you have a higher potential of loss in each stock that side, but your loss will be limited on each position, while potential gains are unlimited. You'll own the optionality.

When you make these decisions, everything you know about the world and the business gets into the equation. Lateral thinking becomes the king.

Given the latter, a comprehensive, but unbounded list of what shapes exceptional companies has been forecasted below:

1.Toll Bridges

What does a toll bridge do? **It's a connection between two points.**

It makes money by imposing a fee on everybody that wants to use the bridge to get from point A to point B.

When you think about that, economic characteristics that make a toll bridge valuable instantly becomes apparent:

- **It's better business if there are many people that want to cross the bridge.**
- **It's even better if the bridge is the only connection between the two points.**
- **It's best if there are many people using it and it's the only connection.**

In businesses, toll bridges are the companies that cut commission on usage.

Best examples are payment processors: Visa, Mastercard, American Express.

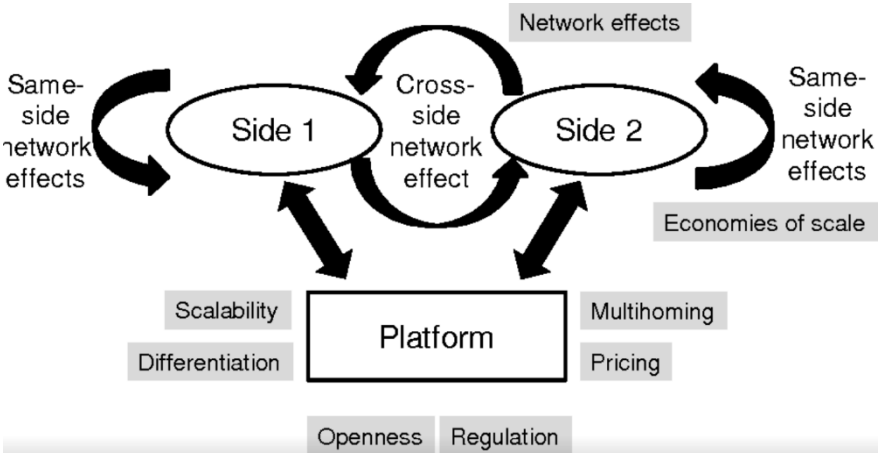
When such a network is used by many people, it grants some amazing properties to the underlying business. They become inflation proof and recession proof at the same time.

Think about an inflationary scenario: Their earnings will go up because the total basket sizes will grow due to inflation.

In a recession, they will be affected less than other businesses because payments for the existing demand will still be processed by their networks.

Plus, their wide usage also creates very strong network effects.

2.Multi-sided Platforms



It's very easy to create a social media platform, it's incredibly hard to reach the size of Facebook or Instagram. **Somewhere between 0 users and the current 2 billion users Instagram has, there is a point called "critical mass", when reached, network effects become so strong that the growth sustains itself.**

When evaluating such models, understanding if the business has reached the **critical mass**, is the most important thing.

If it has, you are probably looking at a business that will dominate its market and generate massive shareholder wealth for decades to come without much competitive threat.

Such are indeed exceptional businesses.

3.Tech Ecosystems

When an ecosystem is formed around a product, it grants a massive moat to the company that owns it because other stakeholders also get deeply invested.

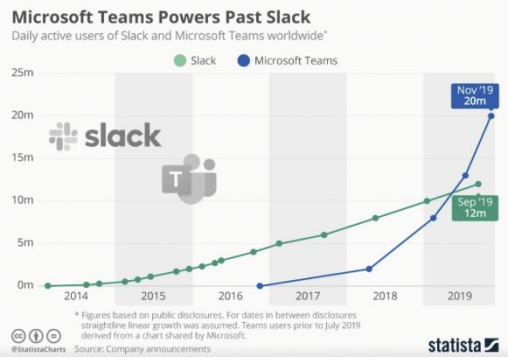
It is easy to threaten a product's dominance. You just need a better product.

On the other hand, a better product usually does no damage to an ecosystem because poaching a few users doesn't mean anything. As long as there are armies of developers creating complementaries for those dominant products, their position will remain strong because these complementaries will attract more users and more users will attract more developers.

Plus, it's always possible for an ecosystem company to launch complementary products itself in the sub-markets where it sees an opportunity.

When it does that, it tends to crush all the competition in the sub-market because of its ownership of the distribution.

While Slack has been the best collaboration app in the market for several years, Teams still won the duel due to Microsoft's ecosystem, as shown below:



In summary, successful ecosystem owners tend to be perhaps the most exceptional ones of all the exceptional businesses, as demonstrated by the fact that Apple and Microsoft are currently the 1st and 3rd most valuable companies in the world.

4.Consumer Monopolies

For a business to be regarded as a consumer monopoly, we need three conditions:

- **Unique product.**
- **Very large scale.**
- **Frequent consumption.**

They sell the same unique product to millions of existing and new customers again and again.

Once a product reaches this level, it can aggressively price its products, driving growth even if the organic growth stalls. This way, they can grow high-single digits for decades, which is enough to create exceptional wealth if you are patient.

5.Low-Cost Providers with Scale & Scope

The critical point about these businesses is that they must have been built on a business model that allows them to pursue this strategy. You can't just come out of nowhere and be a low-cost provider.

You must have an engine that perpetuates cost cutting so you can have consistently low prices.

This is what you should be looking for in these businesses, whether the model perpetuates cost cutting or not. This is the most critical point. **Think AMAZON, COSTCO etc**

6. ‘Expertise’ Monopolies

This is essentially when the MOAT of the company is based on the fact that they possess patented technology / information that allows only them to be the main supplier of the product/service. ASML stands out the most in this category.

7. Companies serving the Ultra-rich

We are not talking about brands that cater to people who max-out their credit card limits to afford such products, this is talking about brands that serve people who don’t have credit card limits.

I am not talking about the Louis Vuitton’s of the world, I am talking about the Ferraris, Hermes, SanLonrenzos, Bugatti’s of the world…

If we give an example based on the luxury watch industry, I am not talking about even Rolex, I am talking about Patek Philippe, F.P Journe etc, though they are not public companies.

The reason they tend to be exceptional businesses is very similar to toll bridges: They don’t get affected by inflation or recession.

In inflationary times, they pass all their costs, probably with some premium, to their customers and their customers don’t care. They are the people who have long forgotten reading labels.

In recessions, they are harmed way less than other businesses because virtually nobody who is about to buy a yacht forgoes it because we are having a recession.

Plus, because of this massive pricing power and insensitivity of customers to price, they can drive top-line growth at will by hiking the prices even though the organic growth flattens.

And you see them generally having high ROCE exactly for this reason. They are driving growth even when the capital employed stays the same.

For these underlying economics, they are truly a distinct breed even among the family of exceptional companies.

8.Abominations

If companies falling into one of the above categories have a high chance of being exceptional, the ones that fall into multiple categories are even more likely to be exceptional.

These are extremely rare. This is why I call them abominations.

In fact, there are only a handful of abominations we get in every few decades.

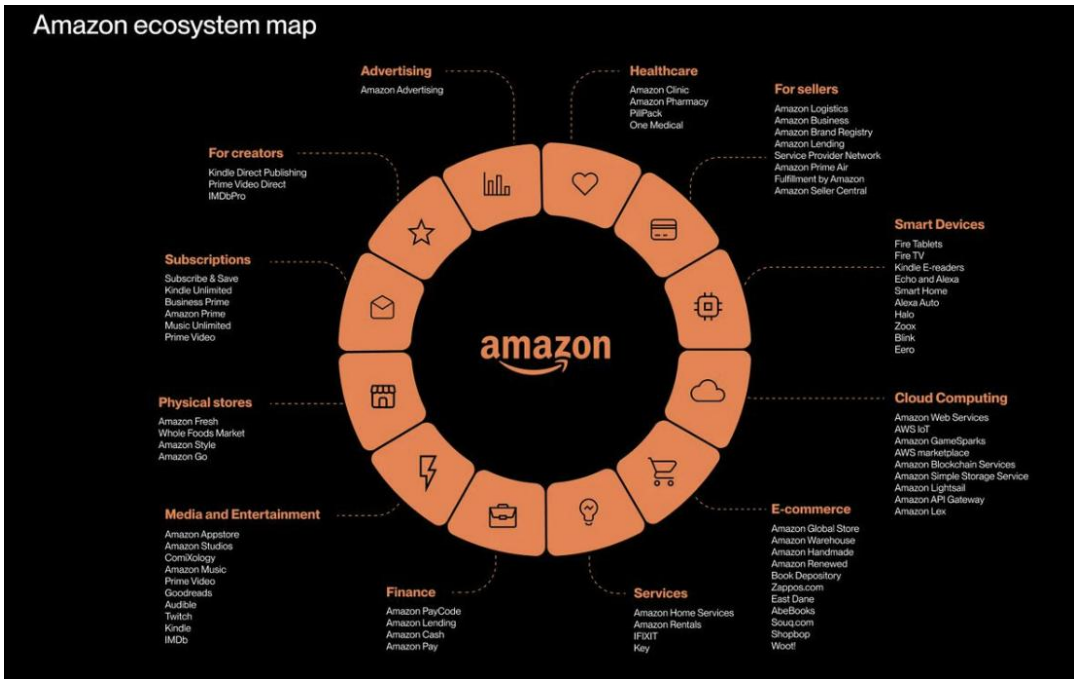
They are the ultimate exceptional businesses.

Amazon is an obvious abomination.

It is a low-cost supplier but this is not all.

Its marketplace is also a multi-sided platform. More users are on the platform, more sellers attracted which in turn broadens the selection, drives prices down and attracts even more users.

On top of all that, it has built complimentary businesses around its core e-commerce platform, becoming a giant tech ecosystem.



How do you spot abominations?

It's impossible to do very early on because abominations weren't born as such.

They were created to do one job and then they do it so well that they dominate that market and successfully leverage that domination to create new products and services over time.

Your best chance is that you invest in an exceptional business early on based on its current business, and then it performs so well over time that it evolves into an abomination.

Of course, you should stay with it for decades to capture all the upside.

Another option is investing in them at the times of widespread market inefficiency.

Abominations tend to stay stronger way longer after it becomes apparent that they are abominations. Because being an abomination is also self-perpetuating. It allows you to see the new opportunities early on and capitalize on them way more heavily than competitors can afford.

Focus on business economics, not the numbers.

Just take this for the underlying message: Start with characteristics, not numbers.

Furthermore, Great companies rarely trade at a discount.

Great companies, by definition, are rare and those rarities tend to shine and make themselves known. Thus, when everything is great, the market won't give them to you at attractive prices.

You have to know when you should attack.

Great companies get discounted mainly in three situations:

- **Market crash.**
- **Industry recession.**
- **Company specific problem.**

In all those cases, the key to successful investing is to understand whether the company has durability, whether it can endure the storm.

How do you do that?

- **Look at the balance sheet to see whether it has any risk of bankruptcy.**
- **Look at the industry to see whether it's becoming irrelevant anytime soon.**
- **Look at the core business to see whether it's intact despite operational problems**.

If you decide that there is no risk of bankruptcy, the industry will be here 20 years from now and the people will resume buying the products of the company once it corrects the problems, then you should bet.

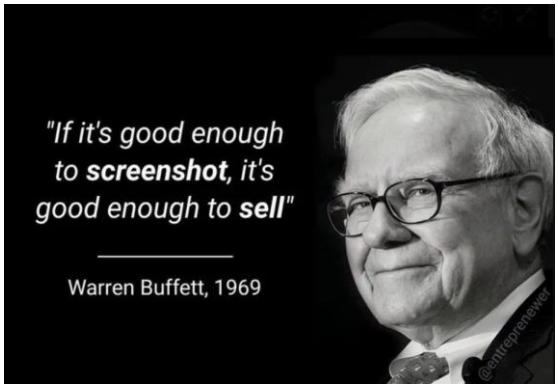
We have now done a deep dive in what to look for when purchasing companies, now I am going to conduct a brief overview on when to SELL.

Here are the key take-aways:

You should sell when the price increases to absurd levels that can't be justified in the next 10 years.

You should sell when the underlying business starts to decay which manifests itself with erratic earnings, declining market share, increasing debt.

You should sell when the underlying story changes, i.e. a successful real estate company tries to reposition itself as a tech company as WeWork tried and failed.



According to sir warren buffet, the best time to sell a mediocre business is 'now' (never should've bought in the first place), an exceptional business 'never' (Let it compound). Thus, only time to realistically sell a company should be to rebalance positions if there are better opportunities in the market.

Peter Lynch provides greater insights into his**, '*sell when the underlying story changes'*** philosophy

Sell a stalwart company:

- If the P/E goes too far beyond the normal range, one might think about selling it and waiting to buy it back later at a lower price. One may also consider buying something else.
- New products introduced in the last 2 years have had mixed results, and others still in the testing stage are a year away from the marketplace.
- The P/E of the stock is 15 and when companies of a similar quality in the industry have a P/E of 11-12.
- No shares have been bought by officers or directors last year.
- The company's growth rate has been slowing down. Though it's been maintaining profits by cutting costs, future cost-cutting opportunities are limited.

Sell a turnaround company:

- The best time to sell a turnaround is after it has turned around and is known by everyone.
- When there is a debt that has been declining for five quarters and suddenly rises by at least $25 million in the latest quarterly report.
- A rise in inventories at a rate which is twice the sales growth rate.
- It can be sold when the P/E has increased with respect to prospects for earnings.

Sell a fast-growing company:

- One should watch for the 2nd phase of rapid growth or whether the company is entering a phase of maturity or not.
- When the stock has high recommendation and is popular, it is time for selling.
- When employees and executives leave a company to join another rival firm it seems like another good time for selling.
- The stock is selling at a P/E of 30, while the most optimistic projections of earnings growth are 15-20 percent for the next two years.

Other key indicators to look for include.

1) Frequent Earnings Misses

Occasional earnings miss means nothing most of the time. They can be due to everything: seasonality, macroeconomic conditions, saturation, increased R&D expenses… anything. However, if the earnings misses become more frequent and they are due to missing targets in the core business, you should consider selling.

2) Shrinking Market Share

Durability of the market share indicates the durability of the business. If the company's market share is declining and competitor's increasing, this means the company is getting disrupted and you should leave the sinking ship. See below, over years AMD has been taking market share from Intel. For Intel investors, it was easy to see when to sell: They should have start selling when the first time the company lost market share back-to-back in 2 quarters.

3) Rising Debt Levels

The ideal Debt/Equity ratio is below 1. This means that the company has at least $1 in equity for every $1 debt. If the debt level suddenly sparks or slowly but consistently increases resulting in Debt/Equity ratio of above 1, you should seriously consider selling.